

# Current Liabilities

Chapter 11

# Chapter 11 Learning Objectives

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## CONCEPTUAL

- C1** Describe current and long-term liabilities and their characteristics.
- C2** Identify and describe known current liabilities.
- C3** Explain how to account for contingent liabilities.

## ANALYTICAL

- A1** Compute the times interest earned ratio and use it to analyze liabilities.

## PROCEDURAL

- P1** Prepare entries to account for short-term notes payable.
- P2** Compute and record *employee* payroll deductions and liabilities.
- P3** Compute and record *employer* payroll expenses liabilities.
- P4** Account for estimated liabilities, including warranties and bonuses.
- P5** *Appendix 11A* – Identify and describe the details of payroll reports, records, and procedures.

# Learning Objective

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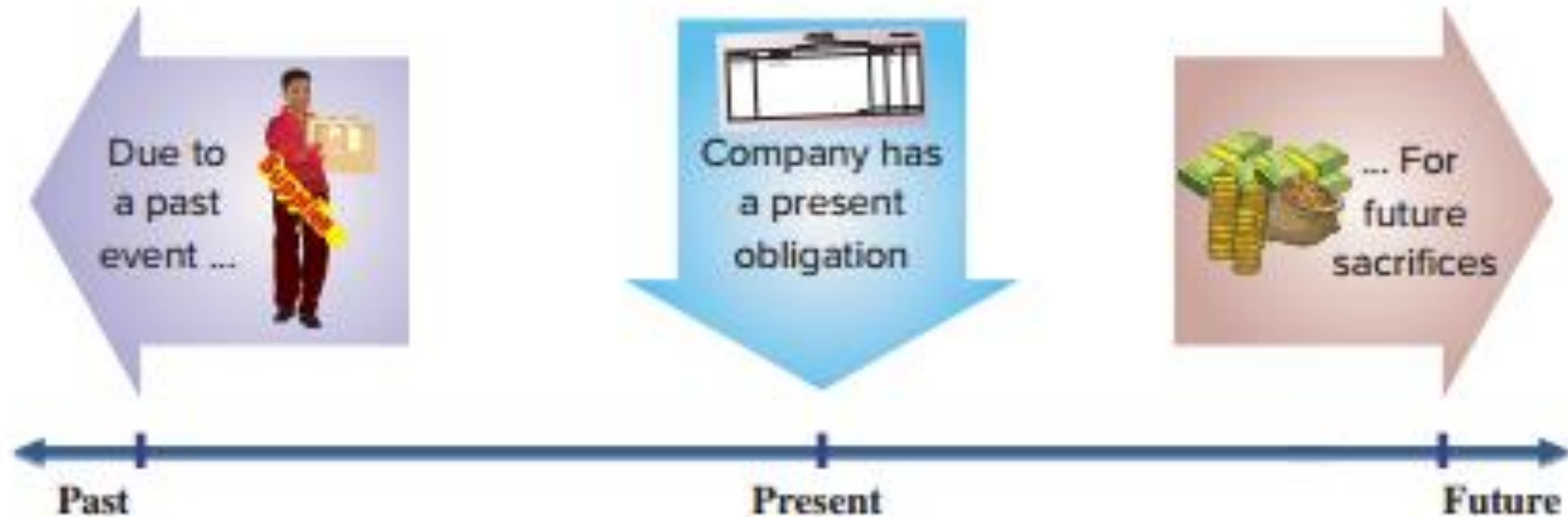
C1:

Describe current and long-term liabilities and their characteristics.

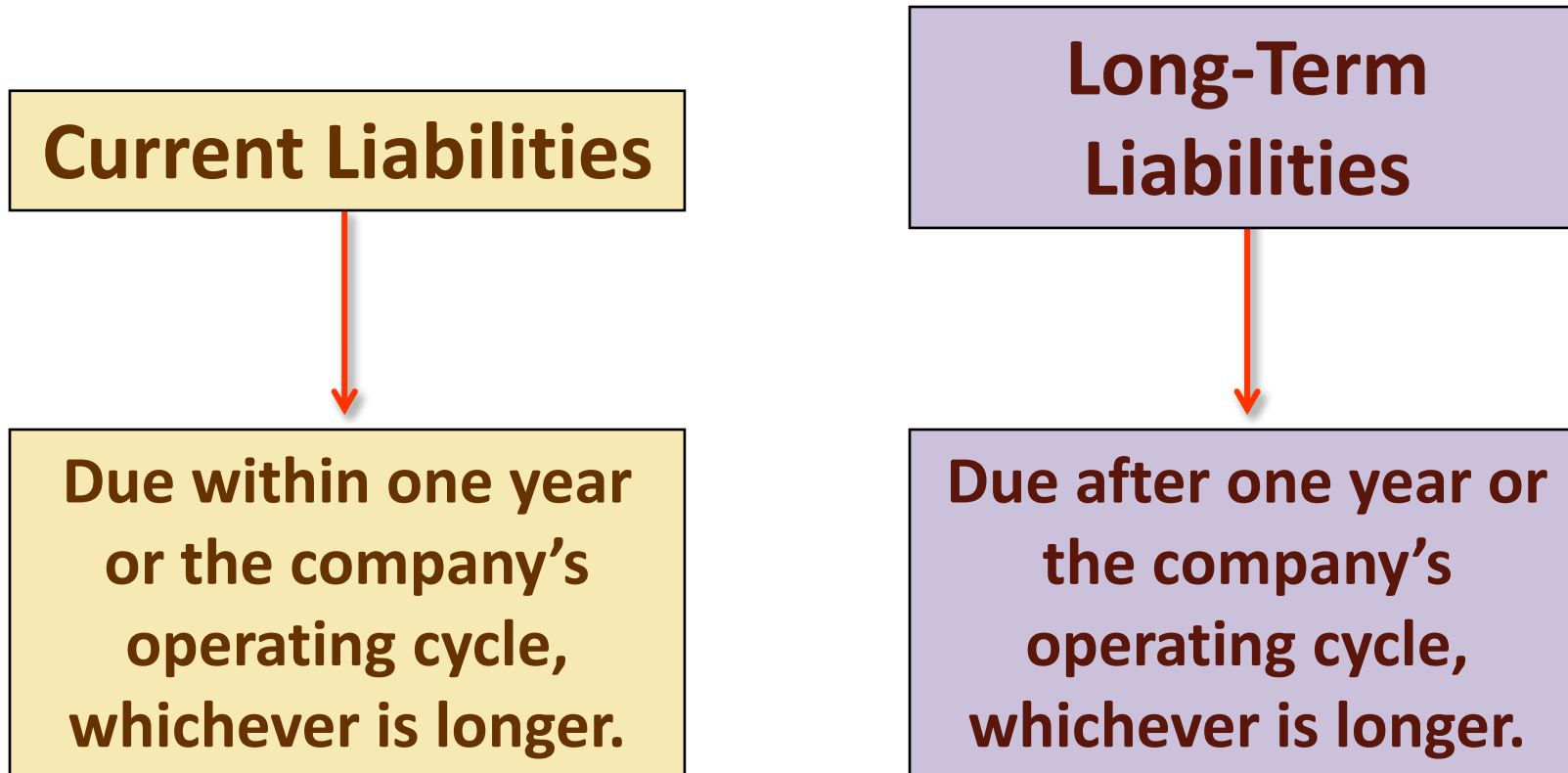
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# Defining Liabilities

Exhibit  
11.1



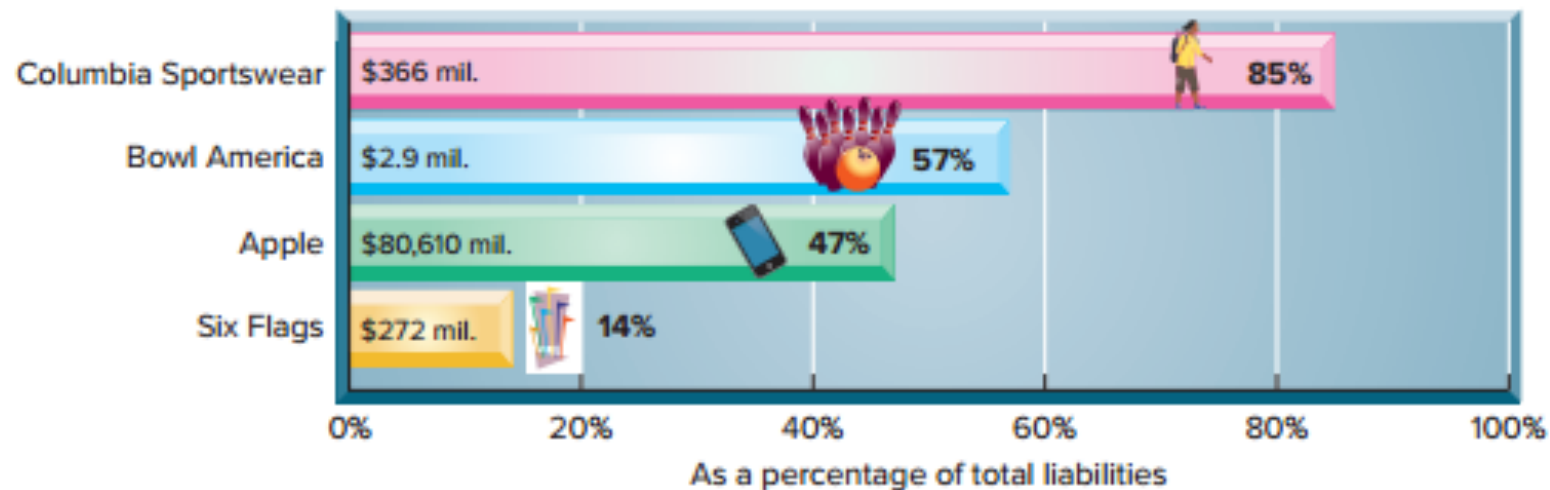
# Classifying Liabilities



# Current and Long-Term Liabilities

Exhibit  
11.2

- Current liabilities are obligations due within one year or the company's operating cycle, whichever is longer.
- Long-term liabilities are obligations due after one year or the company's operating cycle, whichever is longer.



# Learning Objective

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C2:  
Identify and describe known  
current liabilities.

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# Known Liabilities

**Accounts Payable**

**Sales Taxes Payable**

**Unearned Revenues**

**Short-Term Notes Payable**

**Payroll Liabilities**

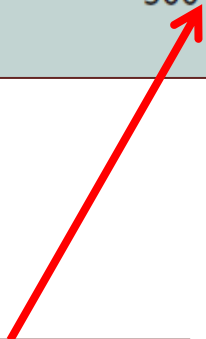
**Multi-Period Known Liabilities**



# Sales Tax Payable

On August 31, Home Depot sold materials for \$6,000 that are subject to a 5% sales tax.

|         |                                                     |       |       |
|---------|-----------------------------------------------------|-------|-------|
| Aug. 31 | Cash .....                                          | 6,300 |       |
|         | Sales .....                                         |       | 6,000 |
|         | Sales Taxes Payable ( $\$6,000 \times 0.05$ ) ..... |       | 300   |
|         | <i>To record cash sales and 5% sales tax.</i>       |       |       |


$$\$6,000 \times 5\% = \$300$$

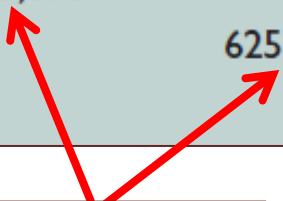
# Unearned Revenues

On June 30, Rihanna sells \$5,000,000 in tickets for eight concerts.

|         |                                           |           |           |
|---------|-------------------------------------------|-----------|-----------|
| June 30 | Cash .....                                | 5,000,000 |           |
|         | Unearned Ticket Revenue .....             |           | 5,000,000 |
|         | <i>To record sale of concert tickets.</i> |           |           |

On Oct. 31, Rihanna performs a concert.

|         |                                                  |         |         |
|---------|--------------------------------------------------|---------|---------|
| Oct. 31 | Unearned Ticket Revenue .....                    | 625,000 |         |
|         | Ticket Revenue .....                             |         | 625,000 |
|         | <i>To record concert ticket revenues earned.</i> |         |         |


$$\text{\$5,000,000} / 8 = \text{\$625,000}$$

# Learning Objective

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P1:

Prepare entries to account for short-term notes payable.

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# Short-Term Notes Payable

A written promise to pay a specified amount on a stated future date within one year or the company's operating cycle, whichever is longer.

# Note Given to Extend Credit Period

On August 23, Brady Company asks McGraw to accept \$100 cash and a 60-day, 12% \$500 note to replace its existing \$600 Account Payable.

|         |                                                                       |     |     |
|---------|-----------------------------------------------------------------------|-----|-----|
| Aug. 23 | Accounts Payable—McGraw .....                                         | 600 |     |
|         | Cash .....                                                            |     | 100 |
|         | Notes Payable—McGraw .....                                            |     | 500 |
|         | <i>Gave \$100 cash and a 60-day, 12% note for payment on account.</i> |     |     |

# Note Given to Extend Credit Period

On October 22, Brady pays the note plus interest to McGraw.

|         |                                                                                 |     |     |
|---------|---------------------------------------------------------------------------------|-----|-----|
| Oct. 22 | Notes Payable—McGraw .....                                                      | 500 |     |
|         | Interest Expense .....                                                          | 10  |     |
|         | Cash .....                                                                      |     | 510 |
|         | <i>Paid note with interest (<math>\\$500 \times 12\% \times 60/360</math>).</i> |     |     |



$$\text{Interest expense} = \$500 \times 12\% \times (60 \div 360) = \$10$$

# Note Given To Borrow From Bank

On Sept. 30, a company borrows \$2,000 from a bank at 12% interest for 60 days.

|          |                                                                |       |       |
|----------|----------------------------------------------------------------|-------|-------|
| Sept. 30 | Cash .....                                                     | 2,000 |       |
|          | Notes Payable .....                                            |       | 2,000 |
|          | <i>Borrowed \$2,000 cash with a 60-day, 12%, \$2,000 note.</i> |       |       |

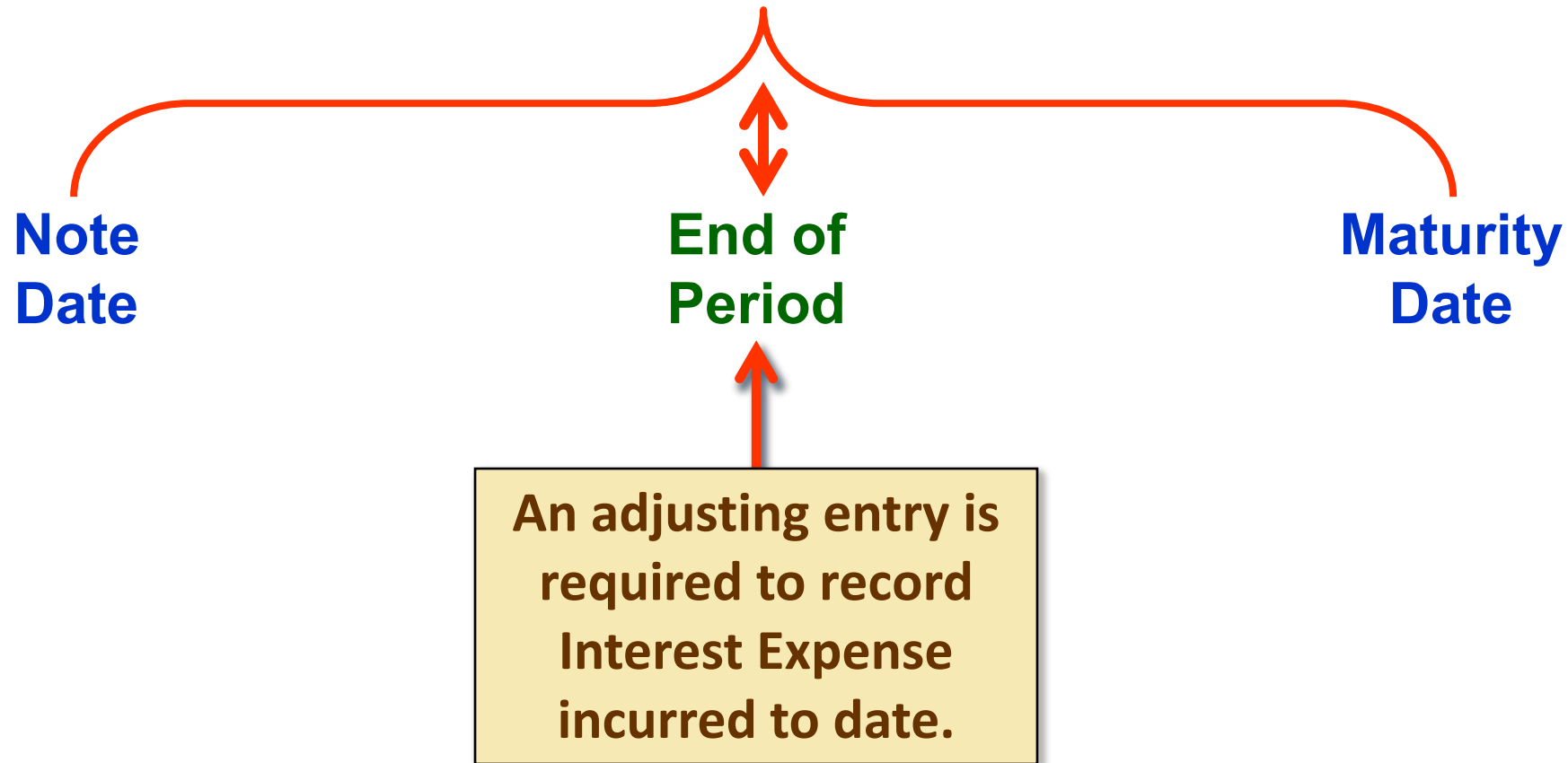
On Nov. 29, the company repays the principal of the note plus interest.

|         |                                                          |       |       |
|---------|----------------------------------------------------------|-------|-------|
| Nov. 29 | Notes Payable .....                                      | 2,000 |       |
|         | Interest Expense .....                                   | 40    |       |
|         | Cash .....                                               |       | 2,040 |
|         | <i>Paid note with interest (\$2,000 × 12% × 60/360).</i> |       |       |



$$\text{Interest expense} = \$2,000 \times 12\% \times (60 \div 360) = \$40$$

# When Note Extends over Period-End





# End-of-Period Adjustment to Notes

On Dec. 16, 2017, a company borrows \$2,000 from a bank at 12% interest for 60 days. An adjusting entry is needed on December 31.

|                 |                                                          |    |    |
|-----------------|----------------------------------------------------------|----|----|
| 2017<br>Dec. 31 | Interest Expense .....                                   | 10 |    |
|                 | Interest Payable .....                                   |    | 10 |
|                 | <i>Record accrued interest (\$2,000 × 12% × 15/360).</i> |    |    |

On Feb. 14, 2018, the company repays this principal and interest on the note.

|                 |                                                         |       |       |
|-----------------|---------------------------------------------------------|-------|-------|
| 2018<br>Feb. 14 | Interest Expense* .....                                 | 30    |       |
|                 | Interest Payable .....                                  | 10    |       |
|                 | Notes Payable .....                                     | 2,000 |       |
|                 | Cash .....                                              |       | 2,040 |
|                 | <i>Paid note with interest. *\$2,000 × 12% × 45/360</i> |       |       |

# Learning Objective

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P2:

Compute and record *employee*  
payroll deductions and  
liabilities.

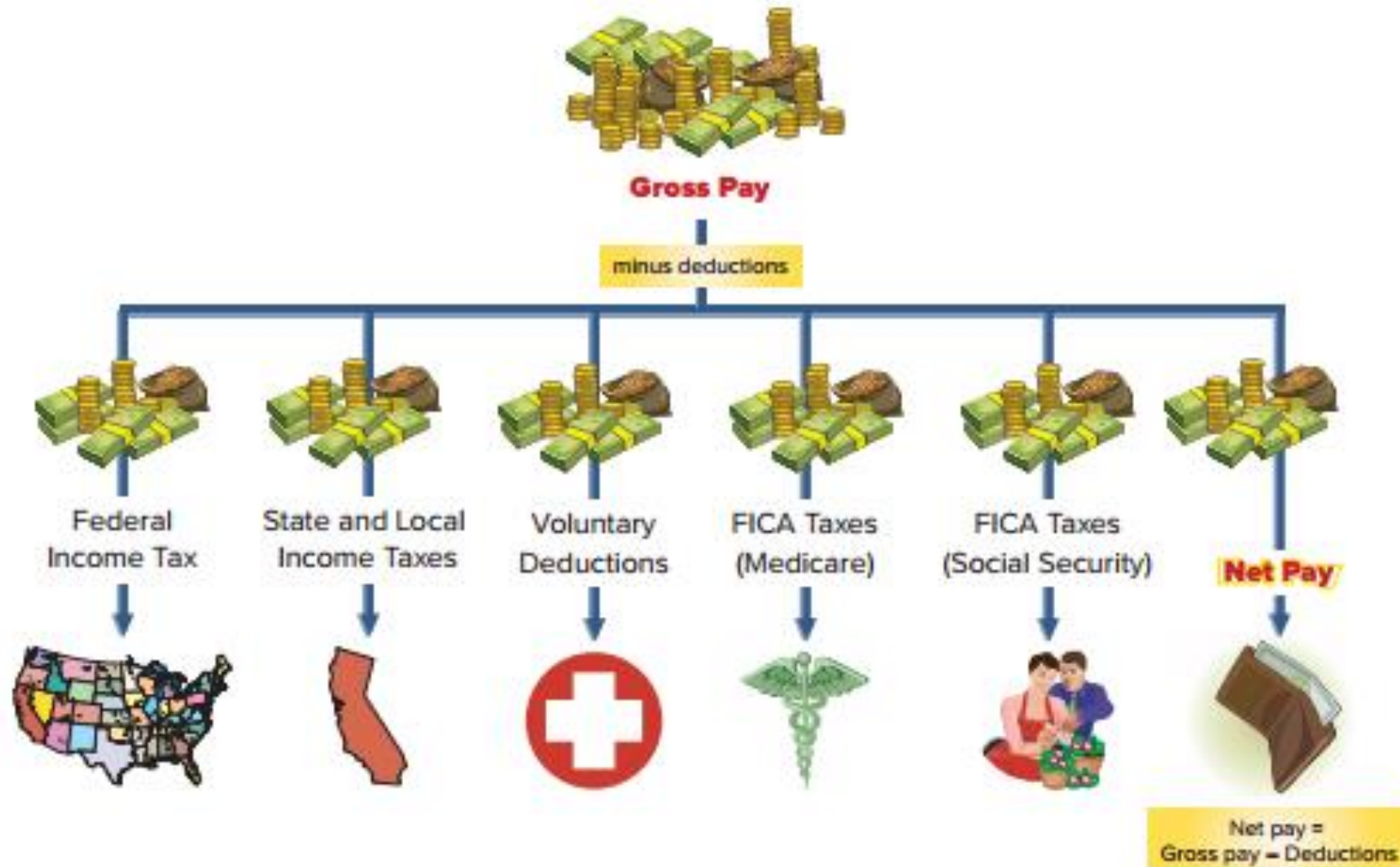
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# Payroll Liabilities

Employers incur expenses and liabilities from having employees.

# Employee Payroll Deductions

Exhibit  
11.3



# Recording Employee Payroll Deductions

An entry to record payroll expenses and deductions for an employee might look like this.

|         |                                                 |       |       |
|---------|-------------------------------------------------|-------|-------|
| Jan. 31 | Salaries Expense .....                          | 2,000 |       |
|         | FICA—Social Security Taxes Payable (6.2%) ..... |       | 124   |
|         | FICA—Medicare Taxes Payable (1.45%) .....       |       | 29    |
|         | Employee Federal Income Taxes Payable* .....    |       | 213   |
|         | Employee Medical Insurance Payable* .....       |       | 85    |
|         | Employee Union Dues Payable* .....              |       | 25    |
|         | Salaries Payable .....                          |       | 1,524 |
|         | <i>To record accrued payroll for January.</i>   |       |       |

\*Amounts taken from employee's employment records

# Internal Control of Payroll

Four key areas of payroll activities that should be separated and monitored:

1. Employee Hiring
2. Payroll Preparation
3. Timekeeping
4. Payroll Payment

# Learning Objective

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P4:

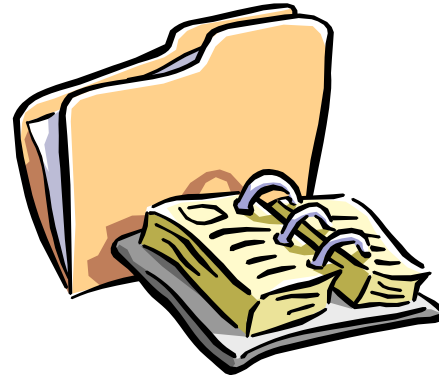
Account for estimated liabilities, including warranties and bonuses.

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# Uncertainty of Liabilities



**Uncertainty in  
Whom to Pay**



**Uncertainty in  
When to Pay**



**Uncertainty in How  
Much to Pay**



# Estimated Liabilities

An estimated liability  
is a **known**  
**obligation** of an  
**uncertain amount**,  
but one that can be  
**reasonably**  
**estimated**.

# Warranty Liabilities

- Seller's obligation to replace or correct a product (or service) that fails to perform as expected within a specified period.
- Seller reports expected warranty expense in the period when revenue from the sale is reported.
- Seller reports warranty obligation as a liability.

# Warranty Liabilities

On Dec. 1, 2017, a dealer sells a car for \$16,000 with a maximum one-year or 12,000 mile warranty covering parts. Past experience indicates warranty expenses average 4% of a car's selling price.

|        |                                           |     |     |
|--------|-------------------------------------------|-----|-----|
| Dec. 1 | Warranty Expense .....                    | 640 |     |
|        | Estimated Warranty Liability .....        |     | 640 |
|        | <i>Record estimated warranty expense.</i> |     |     |

On Jan. 9, 2018, the customer returns the car for repairs. The dealer replaces parts costing \$200.

|        |                                          |     |     |
|--------|------------------------------------------|-----|-----|
| Jan. 9 | Estimated Warranty Liability .....       | 200 |     |
|        | Auto Parts Inventory .....               |     | 200 |
|        | <i>Record costs of warranty repairs.</i> |     |     |

# Learning Objective

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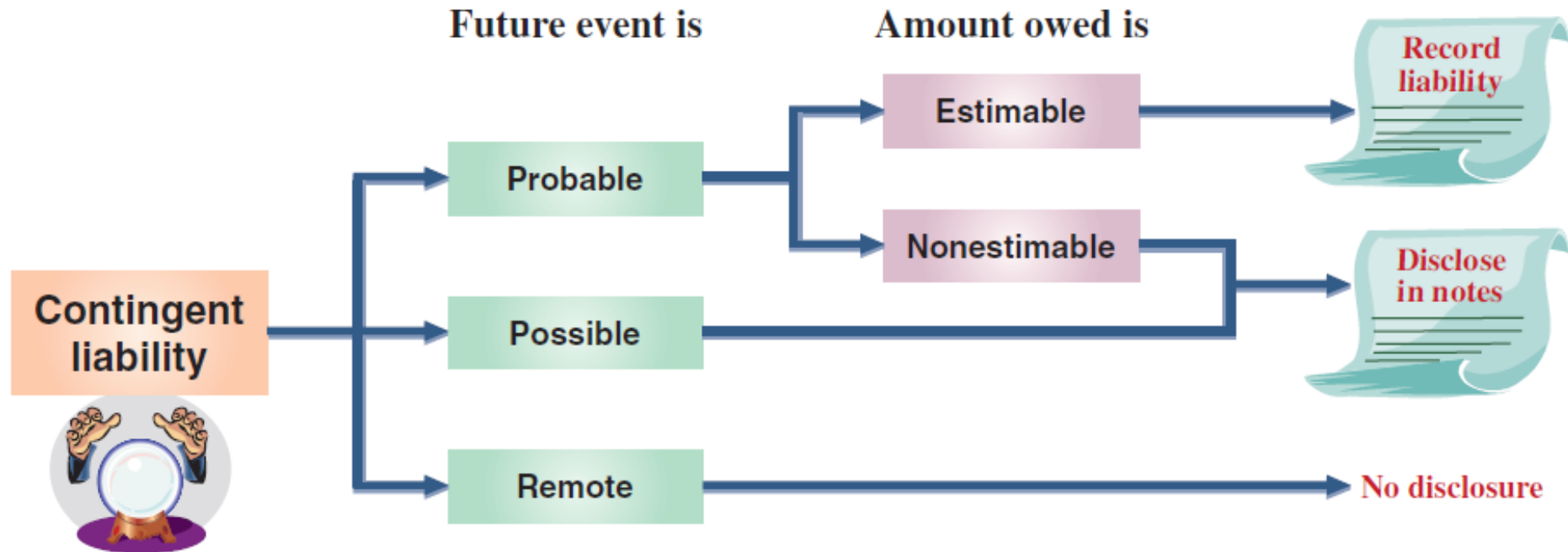
C3:

Explain how to account for  
contingent liabilities.

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# Accounting for Contingent Liabilities

Exhibit  
11.5



# Reasonably Possible Contingent Liabilities

**Potential Legal Claims** – A potential claim is recorded if the amount can be reasonably estimated and payment for damages is probable.

**Debt Guarantees** – The guarantor usually discloses the guarantee in its financial statement notes. If it is probable that the debtor will default, the guarantor should record and report the guarantee as a liability.

# **End of Chapter 11**

# Learning Objective

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A1:

Compute the times interest earned ratio and use it to analyze liabilities.

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# Times Interest Earned

$$\text{Times interest earned} = \frac{\text{Income before interest and income taxes}}{\text{Interest expense}}$$

If income before interest and taxes varies greatly from year to year, fixed interest charges can increase the risk that an owner will not earn a positive return and be unable to pay interest charges.

# Times Interest Earned

Exhibit  
11.6

| \$ millions                    | 2017                | 2018 Projections    |                     |
|--------------------------------|---------------------|---------------------|---------------------|
|                                |                     | Sales Increase      | Sales Decrease      |
| Sales .....                    | \$600               | \$900               | \$300               |
| Expenses (75% of sales) .....  | <u>450</u>          | <u>675</u>          | <u>225</u>          |
| Income before interest .....   | 150                 | 225                 | 75                  |
| Interest expense (fixed) ..... | <u>60</u>           | <u>60</u>           | <u>60</u>           |
| Net income.....                | <u><u>\$ 90</u></u> | <u><u>\$165</u></u> | <u><u>\$ 15</u></u> |

$$\text{Times interest earned} = \frac{\text{Income before interest expense and income taxes}}{\text{Interest expense}}$$

Exhibit  
11.7

# Learning Objective

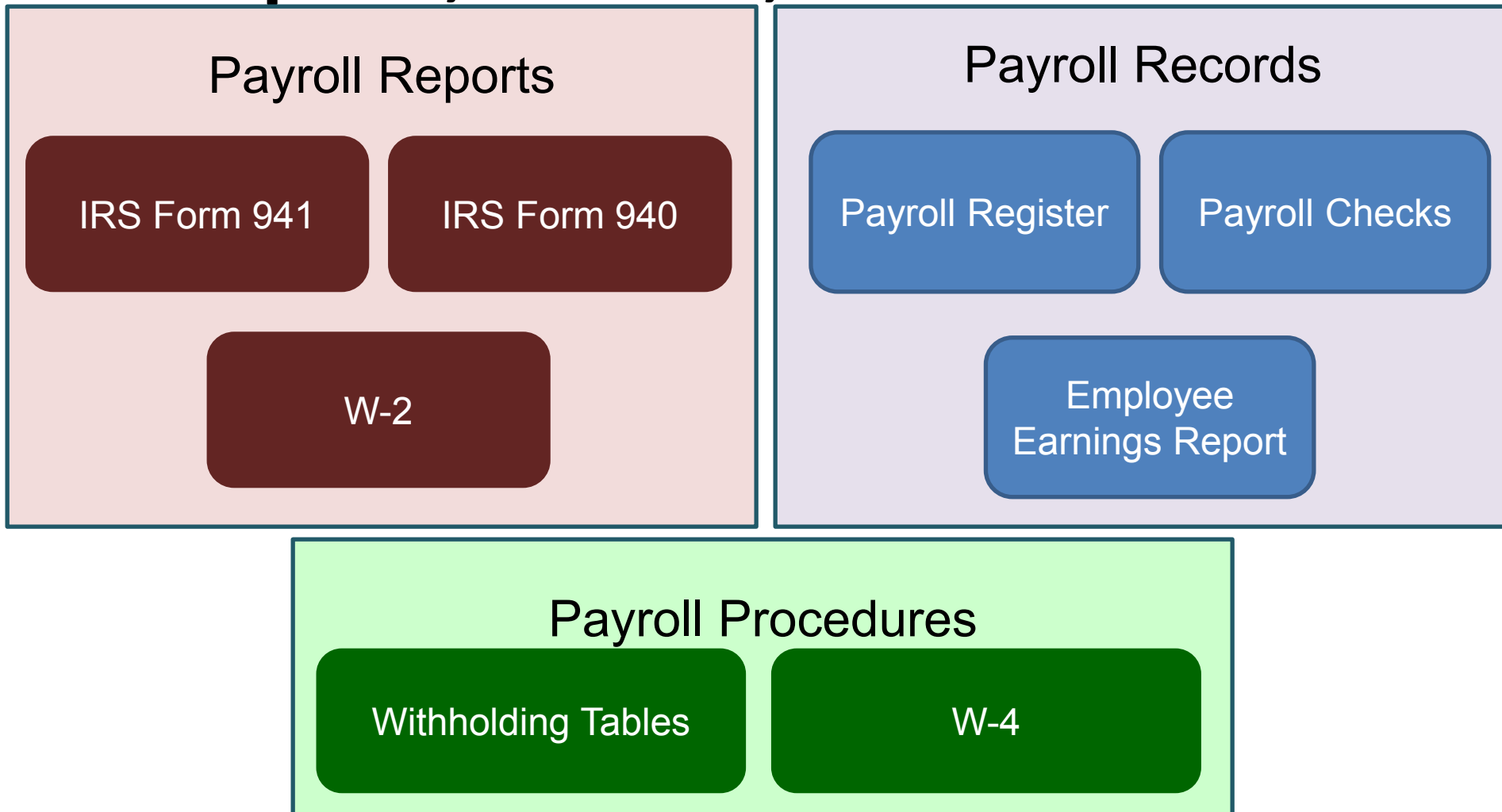
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P5: *Appendix 11A*

Identify and describe the details of payroll reports, records, and procedures.

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# Appendix 11A: Payroll Reports, Records, and Procedures



# Appendix 11B:

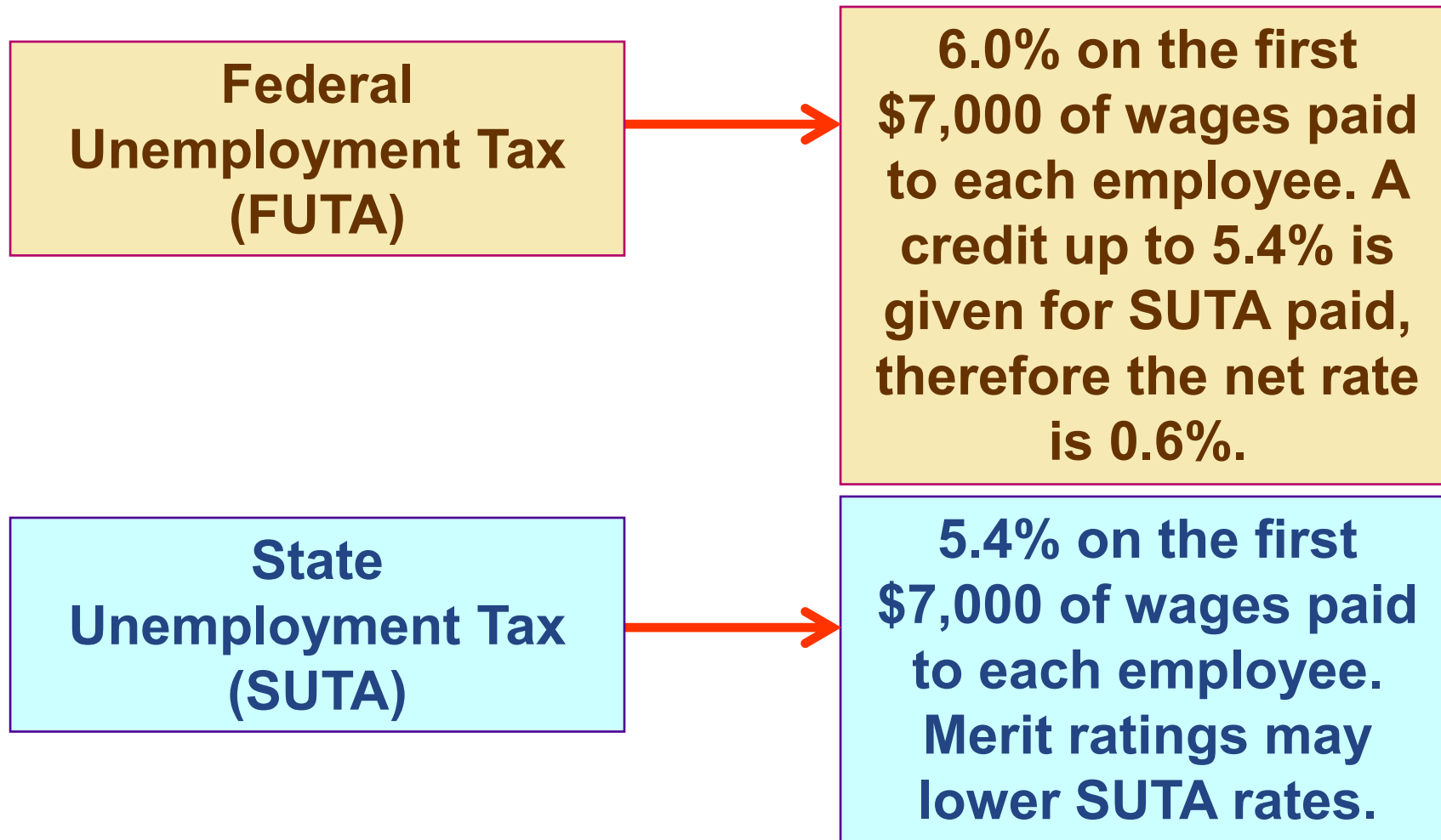
## Corporate Income Taxes

Corporations must pay taxes on income.

### Deferred Income Tax Liabilities

|         |                                                                             |        |        |
|---------|-----------------------------------------------------------------------------|--------|--------|
| Jan. 31 | Income Taxes Expense .....                                                  | 12,100 |        |
|         | Income Taxes Payable .....                                                  |        | 12,100 |
|         | <i>To accrue January income taxes.</i>                                      |        |        |
| Apr. 10 | Income Taxes Payable .....                                                  | 30,000 |        |
|         | Cash .....                                                                  |        | 30,000 |
|         | <i>Paid estimated quarterly income taxes based on first-quarter income.</i> |        |        |

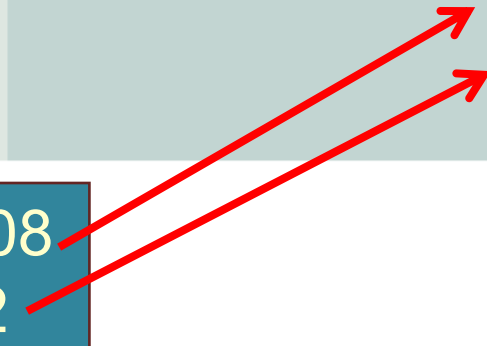
# Federal and State Unemployment Taxes



# Recording Employer Payroll Taxes

An entry to record the employer payroll taxes for January might look like this.

|         |                                                 |     |     |
|---------|-------------------------------------------------|-----|-----|
| Jan. 31 | Payroll Taxes Expense .....                     | 273 |     |
|         | FICA—Social Security Taxes Payable (6.2%) ..... |     | 124 |
|         | FICA—Medicare Taxes Payable (1.45%) .....       |     | 29  |
|         | State Unemployment Taxes Payable .....          |     | 108 |
|         | Federal Unemployment Taxes Payable .....        |     | 12  |
|         | <i>To record employer payroll taxes.</i>        |     |     |



$$\begin{aligned}\text{SUTA: } \$2,000 \times 5.4\% &= \$108 \\ \text{FUTA: } \$2,000 \times (0.6) &= 12\end{aligned}$$

**FICA amounts are the same as that withheld from the employee's gross pay.**

# Multi-Period Known Liabilities

Includes Unearned Revenues and Notes Payable

Unearned Revenues from magazine subscriptions often cover more than one accounting period. A portion of the earned revenue is recognized each period and the Unearned Revenue account is reduced.

Notes Payable often extend over more than one accounting period. A three-year note would be classified as a current liability for one year and a long-term liability for two years.